

Vinyas Innovative Technologies Ltd

High-mix defence & aerospace electronics manufacturer (EMS) | Mysuru, Karnataka

NSE (SME Emerge): **VINYAS**

ISIN: INE0OLS01010

Sector: EMS / Defence Electronics

Report date: 15 Jun 2026

Currency: INR

SHARE PRICE	MARKET CAP	P/E (TTM)	52-WK RANGE
₹1,405	₹1,768 cr	~57×	809 – 1,524
FY26 REVENUE	FY26 PAT	ORDER BOOK	PROMOTER / PLEDGE
₹514 cr	₹30.9 cr	₹1,309 cr	29.4% / 0%

HOLD / ACCUMULATE ON DIPS

A genuine, well-positioned defence-electronics growth story with a 2.5× - revenue order book and large operating-leverage runway — but priced for perfection at ~57× earnings while reported profits are **not** converting to cash. We like the franchise, not the entry price.

1. Executive Summary

Vinyas is a Mysuru-based Electronics Manufacturing Services (EMS) company that has quietly become one of India's more specialised **defence & aerospace** contract manufacturers. It runs a high-mix, low-to-medium-volume, build-to-print / build-to-spec model for complex PCB assemblies and box-builds, with the right gatekeeper credentials (AS9100-D, defence industrial licence, NADCAP, ISO 13485). Roughly **85–90% of its order book is defence/aerospace** and ~50% of revenue is exported to Europe and the US.

The numbers have inflected hard. Revenue compounded at ~20% over FY21–FY26 to **₹514 cr**, but profitability is the real story: EBITDA margin expanded from ~6% to **12.6%** and PAT went from ₹1.2 cr (FY21) to **₹30.9 cr (FY26)**. A ₹1,309 cr order book (~2.5× FY26 revenue) and only 35–40% capacity utilisation give multi-year, operating-leverage-rich visibility, and management guides to 30–35% revenue growth into FY27.

The catch — and it is a serious one — is **cash conversion**. The cash conversion cycle has stretched to ~232 days, receivable days have doubled to ~161, and despite ₹31 cr of reported FY26 profit, **operating cash flow was roughly –₹32 cr and free cash flow about –₹77 cr**. Growth is being funded by working-capital debt and equity dilution (a ₹150 cr warrant raise in 2025). At ~57× trailing earnings, ~8× book and ~32× EV/EBITDA, the stock already prices in flawless execution.

BOTTOM LINE

A high-quality, structurally well-positioned franchise riding India's defence-indigenisation and EMS tailwinds — but expensive and cash-flow-risky today. We would own the story on pullbacks and on evidence that cash collection is normalising, rather than chase it at a near-record multiple.

2. Investment Snapshot

METRIC	VALUE	METRIC	VALUE
Share price (15 Jun 2026)	₹1,404.95	FY26 Revenue	₹514 cr (+29.5%)
Market capitalisation	~₹1,768 cr	FY26 EBITDA / margin	₹64.8 cr / 12.6%
52-week high / low	₹1,524 / ₹809	FY26 PAT / margin	₹30.9 cr / 6.0%
P/E (TTM)	~57–60×	EPS (FY26)	~₹24.5
P/B	~8×	ROE / ROCE	~16% / ~19%
EV/EBITDA	~32×	Order book (Mar-26)	₹1,309 cr
Dividend yield	0% (none ever)	Net debt / D-E	~₹118 cr / ~0.55–0.7×
Promoter holding / pledge	29.4% / 0%	Cash conversion cycle	~232 days

Figures are standalone unless noted; FY26 = year ended 31 Mar 2026. Market data observed 15 Jun 2026 — small-cap values move quickly. Minor source variances exist (e.g. FY26 revenue ₹514 vs ₹518 cr; market cap ₹1,768–1,841 cr).

3. Business Overview

Incorporated in **2001** by founder & Managing Director **Narendra Narayanan** (USC electrical engineer; son Sumukh Narendra is Executive Director), Vinyas listed on the **NSE Emerge (SME) platform in October 2023** and operates a single >150,000 sq ft facility in Mysuru, including a dedicated export (EHTP) unit and a high-reliability Class-III defence line.

What it does

Vinyas is a pure-play EMS/ODM provider deliberately focused on **high-complexity, low-to-medium-volume** work, which carries higher entry barriers and steadier margins than commodity consumer EMS:

PCB assembly / SMT & THT

Box build & system integration

Cable & wire harnessing

Design / DFM & NPI

Testing & inspection (ESS/HASS)

Aftermarket / repair

End-markets & mix

Six verticals — Aerospace & Defence, Medical, Automotive, Industrial, Telecom and Consumer — but the business is heavily skewed: **defence & aerospace is ~85–90% of the order book** (~78% of H1-FY26 revenue). **Exports are ~50% of revenue** (Europe and the US), which usefully diversifies away from pure Indian-PSU dependence.

Credentials & customers

The moat in defence EMS is qualification, not price. Vinyas holds **AS9100-D** (aerospace QMS — the gatekeeper credential), a **Defence Industrial Licence, ISO 13485** (medical), and received **NADCAP** accreditation in 2025. **Bharat Electronics (BEL)** is a confirmed recurring customer (orders of ₹43.5 cr and ₹26.25 cr documented); exact customer concentration is not disclosed, and the IPO prospectus flagged reliance on a single large customer — a risk to monitor.

Recent strategic moves

- **US subsidiary** — Vinyas Innovative Technologies Inc., wholly-owned, incorporated May 2026, to build US business-development presence.
- **Israel defence JV** — 26% Vinyas / 74% Israeli partner (₹2.6 cr investment, May 2026) for manufacturing, integration and lifecycle support; ~10–15% of supplies are already Israel-sourced.
- **Capacity expansion** — new SMT lines and quality upgrades; ~₹30 cr FY26 capex against just 35–40% utilisation.

4. Industry & Structural Opportunity

Vinyas sits at the intersection of two strong, policy-backed tailwinds:

- **Indian EMS** — variously sized at US\$35–65 bn (2025) growing ~10–18% CAGR; brokerages model the *listed* EMS universe at ~30% revenue CAGR over FY25–28. A ₹22,919 cr electronics-component PLI (approved 2025), "Make in India", import substitution and China+1 underpin demand.
- **Defence indigenisation** — India's defence production has crossed ~US\$18 bn; five Positive Indigenisation Lists earmark 5,000+ items for domestic manufacture, with a target to raise indigenous content past 70%. Defence electronics & avionics is estimated to roughly double to ~US\$17.6 bn by 2031.

For a small, defence-skewed contract manufacturer, this is a favourable backdrop: certified suppliers to defence primes enjoy sticky, multi-year, higher-margin programmes that larger consumer-EMS players underprioritise. The ~50% export tilt adds global-supply-chain optionality beyond domestic budgets. The flip side is that the thesis leans on policy continuity and is exposed to **lumpy, milestone-driven revenue recognition**, common across defence peers.

5. Financial Analysis

Income statement (₹ cr, standalone)

YEAR (MAR)	FY21	FY22	FY23	FY24	FY25	FY26
Revenue	207.8	212.2	238.9	320.8	400.2	514.3
Growth %	—	2.1%	12.6%	34.3%	24.7%	29.5%
EBITDA	13.4	16.7	25.1	37.0	44.4	64.8
EBITDA margin %	6.4%	7.9%	10.5%	11.5%	11.1%	12.6%
Net profit (PAT)	1.2	1.0	7.3	15.4	19.4	30.9
Net margin %	0.6%	0.5%	3.1%	4.8%	4.9%	6.0%
EPS (₹, approx.)	3.3	2.7	~12	~16.5	15.4	24.5

EPS for FY23–FY24 is approximate and distorted by the FY24 equity expansion (equity capital ₹4 cr → ₹13 cr). Revenue ~20% CAGR FY21→FY26; PAT inflected sharply from FY23.

Returns & balance sheet

METRIC	FY23	FY24	FY25	FY26
ROE %	16%	16%	~14–16%	~13%
ROCE %	19%	16%	~19%	~18–19%
Total borrowings (₹ cr)	86	97	104	~130
Net worth (₹ cr)	46	128	147	~236
Debt / equity	1.87	0.75	0.71	~0.55

The balance sheet improved markedly: the FY24 equity raise de-levered D/E from 1.87× to 0.71×, and the ₹150 cr 2025 warrant issue lifted net worth further. Reported returns are healthy (ROE/ROCE in the mid-teens to high-teens). Leverage is no longer the worry — **cash conversion is**.

■ THE CRUX — PROFITS AREN'T BECOMING CASH

As an EMS firm selling to slow-paying government/PSU and defence customers, Vinyas is structurally working-capital heavy — and the data shows it worsening, not improving. This is the single most important slide in the report.

Cash flow & working capital (₹ cr / days, standalone)

ITEM	FY21	FY22	FY23	FY24	FY25	FY26
Operating cash flow	-25	12	12	-29	9	-32
Free cash flow (approx.)	-27	11	9	-57	7	-77
Receivable days	52	100	33	101	163	161
Inventory days	238	247	211	166	88	114
Payable days	93	130	71	74	36	43
Cash conversion cycle	197	217	173	193	216	232

Three things to absorb: (1) operating cash flow has been negative in three of the last six years, including FY26 despite record profit; (2) receivable days have **doubled** while payable days **collapsed** — a double squeeze (collecting slower, paying suppliers faster); (3) the cash conversion cycle is $\sim\frac{2}{3}$ of a year and lengthening. The mechanical consequence is that growth must be financed externally — exactly what the rising working-capital debt and the warrant raise are doing. **This is the metric to watch every results cycle.**

6. Valuation

At ₹1,405, Vinyas trades at ~57–60× trailing earnings, ~8× book and ~32× EV/EBITDA — a full re-rating (the stock is up ~50% over 52 weeks and near its high). That sits within the listed defence-EMS cluster (peers at ~54–71× P/E) but offers **limited margin of safety** for a sub-₹520 cr-revenue company with negative free cash flow.

Forward illustration (house scenario — not company guidance)

SCENARIO	FY27E	FY28E
Revenue (₹ cr)	~668 (+30%)	~855 (+28%)
EBITDA margin	11.5%	11.5–12%
PAT (₹ cr)	~40	~52
EPS (₹)	~32	~41
Implied P/E (at ₹1,405)	~44×	~34×

Illustrative only, built off management's 30–35% growth and 11–12% EBITDA-margin guidance plus the ₹1,309 cr order book. Even on these robust assumptions, the multiple only normalises to ~34× two years out — i.e. much of the next two years of growth is already in the price.

Peer comparison (approximate, FY26)

COMPANY	REVENUE (₹ CR)	MKT CAP (₹ CR)	P/E (~)	PROFILE VS VINYAS
Vinyas	514	1,768	57	Baseline — defence-heavy, small
Centum Electronics	~953	~4,873	—	Closest analog (defence/aero ESDM)
Data Patterns	925	~20,388	~66	Pure defence, but OEM/design (richer)
Cyient DLM	~mid	~3,340	—	Aero/defence EMS — moderate fit
Avalon Technologies	—	~5,720	~71	Industrial/aero/defence mix
Kaynes Technology	3,626	~24,375	~66	Larger, diversified
Syrma SGS	large	~14,070	~54–66	Larger, broad EMS

Peer revenues/multiples drawn from secondary aggregators — directional, verify against filings. Most comparable: Centum Electronics (size + defence skew); Data Patterns shares the end-market but is a higher-margin design house.

7. Ownership & Catalysts

Shareholding (Mar 2026)

HOLDER	%
Promoter (0% pledged)	29.4%
DII	6.5%
FII / FPI	0.5%
Public / retail	63.6%

DII holding has roughly doubled (3%→6.5%) — quiet institutional accumulation. Promoter stake is low at 29.4% (most under lock-in), with zero pledge.

Catalysts to watch

- **Cash collection** — any fall in receivable days / positive OCF would be the key re-rating trigger (or de-rating risk if it worsens).
- **Order inflows** — FY27 guidance of +25–30%; recent wins ₹60.8 cr (May-26), ₹49.4 cr, ₹53.7 cr.
- **Capacity ramp** — new SMT lines vs 35–40% utilisation = operating-leverage upside.
- **US subsidiary & Israel JV** — execution/first revenue.
- **Warrant conversion** — ~₹89 cr still receivable; backed by Madhusudan Kela's Singularity Ventures.
- **Possible main-board migration** from NSE SME (would broaden liquidity/coverage).

8. Bull vs Bear

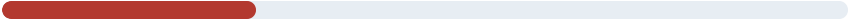
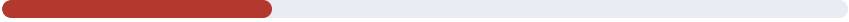
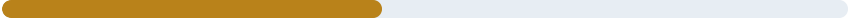
BULL CASE

- Revenue +25–31% YoY; PAT 3-yr CAGR ~60%; margin expansion intact.
- ₹1,309 cr order book (~2.5× revenue), 18–24 month execution visibility.
- Only 35–40% utilisation → strong operating-leverage runway.
- High entry barriers: AS9100, NADCAP, defence licence, sticky qualified-supplier status.
- Clean signals: 0% pledge, de-levered, marquee investor (Kela), rising DII.
- Diversifiers: ~50% exports, US subsidiary, Israel JV.

BEAR CASE

- **Negative operating & free cash flow** despite record profit — earnings-quality flag.
- Working-capital stretch: CCC ~232 days, receivables ~161 days.
- Expensive: ~57× P/E, ~8× P/B, ~32× EV/EBITDA — priced for perfection.
- Customer/sector concentration (defence 85–90%; undisclosed single-customer reliance).
- SME-origin liquidity risk; low 29.4% promoter holding; ongoing warrant dilution.
- Lumpy defence revenue recognition; policy/budget dependence; Israel supply exposure.

9. Scorecard & Verdict

Growth & order visibility		9 / 10
Competitive moat		7.5 / 10
Margins & returns		7 / 10
Balance-sheet strength		6 / 10
Cash conversion / quality		3 / 10
Valuation comfort		3 / 10
Disclosure / liquidity		4.5 / 10

VERDICT — HOLD / ACCUMULATE ON DIPS

Vinyas is a real franchise in the right place at the right time, and the order book plus operating-leverage runway make the growth case credible. But two things hold us back from an outright Buy at ₹1,405: a valuation that already discounts two years of flawless execution, and a working-capital profile that is turning reported profit into *negative* cash. We would build a position on meaningful pullbacks and, above all, on evidence that receivable days are falling and operating cash flow is turning durably positive. Until then, the risk/reward is balanced rather than compelling. **Position sizing should respect its small-cap/SME liquidity.**

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Figures are compiled from third-party aggregators and news sources and observed on 14–15 June 2026; they have **not** been reconciled against audited annual reports and may contain errors or be superseded. Several items remain unverified (exact customer concentration, statutory auditor opinion, full contingent-liability schedule, NSE main-board status). **Verify all data against primary filings (NSE/BSE, RHP, FY25/FY26 annual report) before making any decision.**

KEY SOURCES

screeners.in/company/VINYAS · vinyasit.com · NSE/BSE filings & RHP · tickertape.in · trendlyne.com · stockanalysis.com · simplywall.st · finology · Investing.com (FY26 earnings-call summary) · scanx.trade · businessupturn.com · tradebrains.in · dsij.in · tribuneindia.com · Mordor Intelligence / PS Market Research (EMS sizing) · IBEF & Motilal Oswal (defence/EMS sector) · Mobility Foresights (defence electronics).

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